GLOBALCRAFT INNOVATIONS · GO-TO-MARKET STRATEGY

The same partner is our lifeline and our chokehold.



THE STRATEGY Keep Heritage for the chains that need it. Build a direct route to the ones that don't. Fix the cash first, because it pays for everything after.

TEAM ALPHA Pransh Gupta

OUR RECOMMENDATION

Keep Heritage, build direct alongside it, and fund the build by fixing cash first

This expands the Round 1 stance. The argument rests on three findings, each proven later in the deck. The core realisation: the US is not one market. Major chains are contractually barred from buying direct; independents are not.

01

The economics are misread

The distributor takes $20 of every $100 of retail; the new tariff takes $2.25. Management is being asked to fight a number nine times smaller than the real one.

+$13.25

kept per $100 sold direct, after every cost

slide 5

02

The plan funds itself

Shipping and invoicing the ready 90% of each order releases trapped cash with no new equity and no change to Heritage's terms. That cash pays for the direct build.

~105 → ~30

days to cash in Phase 1, ~75 days of WC freed

slide 7

03

Nothing is irreversible

Heritage keeps every chain account it holds today. We add a channel it was never permitted to serve, so the worst case is simply a return to today, not a worse position.

Zero

chain accounts moved; every step reversible

slide 12

THE ASK · APPROVE THREE THINGS IN THE NEXT 30 DAYS

01 Open the staging conversation
Table the ready-90% proposal with Heritage, framed as a service upgrade.

02 Commission the contract review
Establish whether exclusivity bars a second distributor (Gate 2).

03 Authorise a single-region pilot
Small, capped, judged on friction removed and reorder rate.

THE DIAGNOSIS

One relationship controls 60% of revenue, and imposes two compounding costs

Heritage unlocked the major chains and lent GlobalCraft real credibility. It also owns every layer between the brand and its largest market, which is the single source of both problems below.

GlobalCraft
makes the product

→

HERITAGE DISTRIBUTION
imports · ships · owns every chain relationship

→

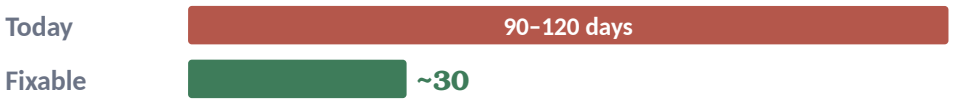
US retailers
chains + independent stores

Everything between GlobalCraft and its customers is owned by Heritage, so the brand controls neither its economics nor its access.

COST 1 · CASH

Cash is trapped for months at a time

Heritage orders in large, infrequent batches and demands each shipped complete. GlobalCraft funds an entire run, holds finished stock while the last items are made, then waits for one late payment.



COST 2 · MARGIN

A fifth of every sale goes to the distributor

Selling through Heritage required lifting the channel margin from 50% to 70%. On a $100 book GlobalCraft keeps $30 instead of $50, a 20-point give-up on the majority of its revenue.



SO WHAT

Both costs trace to one cause. GlobalCraft owns no route to the market that drives 60% of its revenue. Growth has to begin by fixing that, not by picking a side in the distributor argument.

THE CORE INSIGHT

The US is not one market: chains cannot buy direct, independents can

The case is framed as stay-or-leave, and both fail. The escape is that the binding constraint applies to only one half of the customer base, which turns the channel choice into a matter of customer type, not courage.

MAJOR CHAINS

Must buy through a distributor

Large specialty chains and bookstores contractually refuse to import directly. No pricing, marketing or service change alters this; it is a purchasing rule, not a preference.

A purchasing mandate

Not a preference

HERITAGE IS RETAINED, IN FULL

INDEPENDENT STORES

Free to buy direct, and once did

Independents bought directly before the tariff. Their objection is the new customs paperwork and clearance cost, not the direct relationship. That objection can be engineered away.

Bought direct before

Fear is logistical

DIRECT ROUTE IS BUILT HERE

Stay with Heritage

Cash trap and 20-point give-up never heal.

REJECTED

Go fully direct

Chains forfeited; severance is irreversible.

REJECTED

Serve each its own way

Nothing given up, nothing irreversible.

OUR PATH

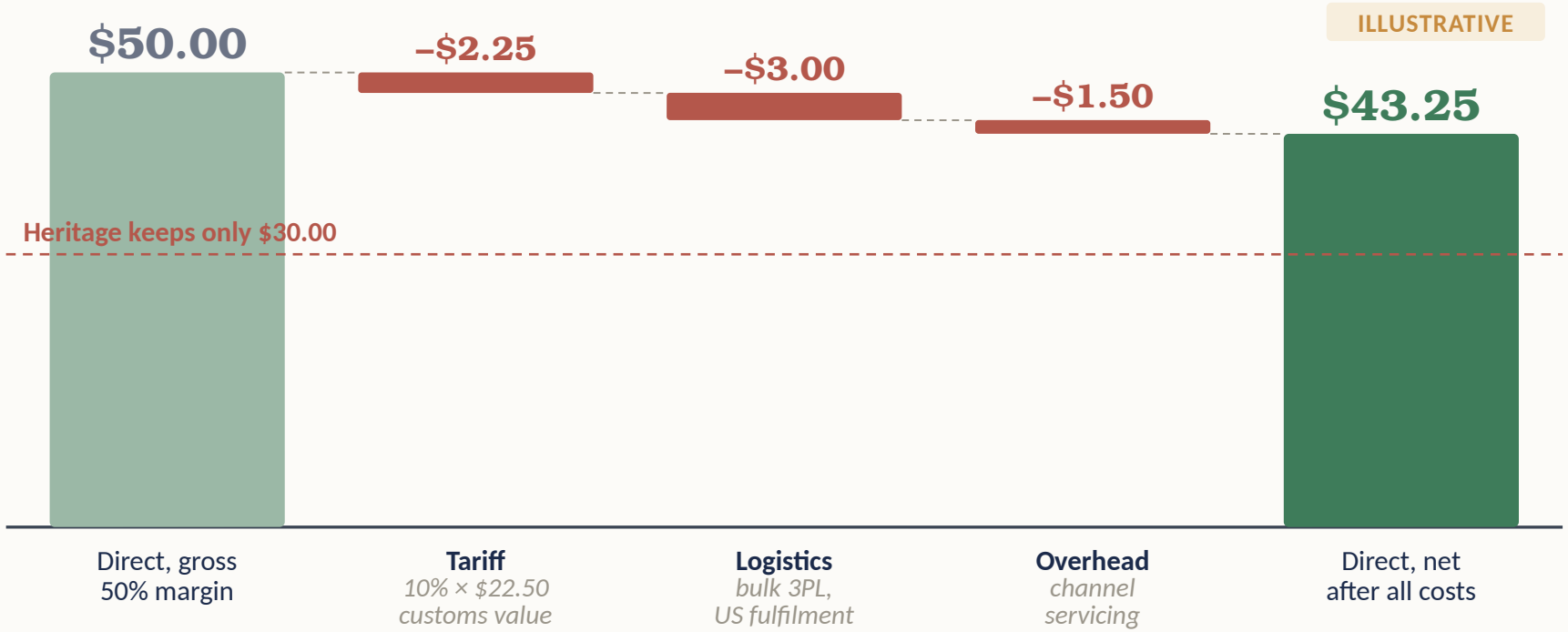
SO WHAT

This is not splitting the difference. It is the only configuration that serves both halves through the sole channel each one permits, which is why it is a structural answer, not a compromise.

MARGINS VS. TARIFFS

The distributor takes $20 of every $100. The tariff takes $2.25.

Management weighed reverting to direct against the new 10% tariff. Costed honestly on a $100 book, the two are not the same order of magnitude: the channel margin is nine times the tariff, and direct wins even after every direct-route cost.



THE COMPARISON THAT MATTERS

$20.00
distributor's cut, per $100

$2.25
tariff cost, per $100

+$13.25
more kept per $100 moved direct, after every cost

SO WHAT

A strategy built around the tariff optimises the wrong variable. Even if the tariff tripled to 30%, direct would still keep $38.75 per $100, well above Heritage's $30 (see workbook, Tariff Sensitivity tab).

THE ROADMAP

Four phases across twelve months, sequenced so each one funds the next

The order is deliberate. Phase 1 needs no capital and no concession from Heritage, and it releases the working capital that pays for Phase 2. Nothing later depends on outside funding.

1

MONTHS 0–3

Fix the cash

Ship and invoice the ready 90% of each order rather than holding the batch for the final 5%. Discount the invoice if Heritage refuses, which needs no consent.

~105 → ~30 days to cash — slide 7

2

MONTHS 3–9

Add a direct route

Reach independents through a second, smaller distributor. Chains stay with Heritage. Pilot one region, judged on friction removed and reorder rate.

1 region pilot live — slides 8–10

3

MONTHS 9–12

Scale the route

Independents order small and often, so revenue turns steady. The invoice-discounting backup is retired once the cash cycle self-sustains.

bridge retired — slides 10–11

4

MONTHS 12+

Cut US reliance

Take existing products into new geographies to bring the US below 60% of revenue and reduce single-market exposure.

60% → <45% US share — horizon

SO WHAT

Phase 1 is the unlock. It requires no equity, no bank facility on GlobalCraft's own credit, and no change to Heritage's commercial terms, which is precisely what makes every later phase affordable.

PHASE 1 · FIX THE CASH

Two levers cut the cash cycle from ~105 days to ~30, with no new capital

The trap is structural: Heritage demands a complete shipment, so GlobalCraft funds an entire run and waits for the final 5% before invoicing anything. Two independent levers break it.

LEVER 1 · ATTACKS THE AMOUNT

Ship and invoice the ready 90%

The case states only the last 5% of a run is the true bottleneck. Ship and invoice what is finished; deliver the rest on completion. Needs Heritage's agreement (slide 9).

LEVER 2 · ATTACKS THE WAIT

Discount the invoice if they refuse

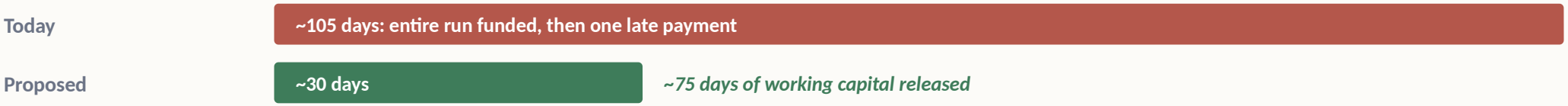
A lender advances most of the invoice within 24 to 48 hours, priced off Heritage's blue-chip credit not GlobalCraft's, so the cost is single-digit. Needs no consent and stays confidential.

HOW THE SPLIT CHANGES CASH FREED — ILLUSTRATIVE

Shipment split	Cash cycle	Trapped
1 (today)	~105 d	100%
Ready 90%+10%	**~45 d**	**10%**
2 tranches	~55 d	50%
4 tranches	~30 d	25%
6 tranches	~20 d	17%

Round 1 committed to the 90%+10% split. Finer splits free more capital as coordination rises; returns diminish past a 4-way split.

CASH CYCLE ON A SINGLE ORDER



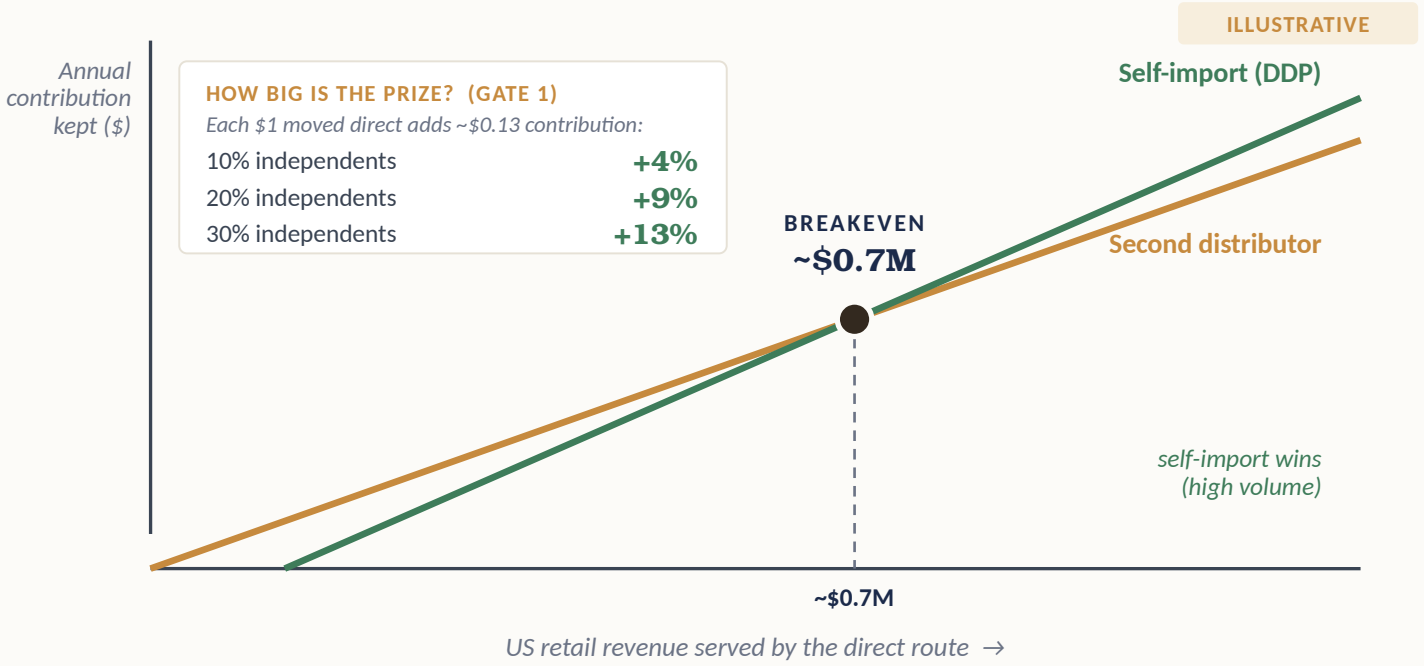
SO WHAT

The cash fix does not depend on winning the negotiation. If Heritage declines staging, Lever 2 alone still delivers most of the benefit. The phase is reversible and self-financing.

PHASE 2 · CHOOSING THE ROUTE

The two routes have opposite cost shapes, so volume alone decides the winner

A second distributor is pure variable cost; self-import trades a fixed base for a higher per-unit keep. Plotted against the volume the direct route serves, they cross once, and that point becomes our rule.



THE DECISION RULE

PREFERRED

Second distributor

Keeps 35% of retail as pure variable cost, so it wins below breakeven, where independent volume realistically starts. This is the Round 1 commitment.

CONTINGENCY

Self-import (DDP)

Keeps $43.25 but carries a fixed base (3PL, customs, IOR). Only pays once volume clears breakeven, or if a clause bars a second distributor.

TWO GATES, CHECKED IN MONTH 1

Gate 1 · Segment size: below the floor, fix Heritage and stop. Gate 2 · Exclusivity: if a second distributor is barred, self-import becomes the route.

SUPPLY CHAIN · THE HERITAGE NEGOTIATION

Every ask hands Heritage a gain, so there is nothing to retaliate against

Staging needs Heritage's agreement, and Heritage is a powerful four-generation partner. The answer is never to pressure it, but to make each change something Heritage itself benefits from accepting.

1 Frame staging as Heritage's win

HERITAGE GAINS: **A better-stocked shelf**

WHAT WE DO

Bring data showing staged, more frequent deliveries lift Heritage's own fill rate and shelf availability, and cut its stock-outs.

→ **WHY HERITAGE ACCEPTS**

Reads as a service upgrade for Heritage, not a concession we extract.

2 Negotiate from a funded position

HERITAGE GAINS: **No ultimatum, ever**

WHAT WE DO

With invoice discounting already securing our cash, we do not need this concession to survive the quarter.

→ **WHY HERITAGE ACCEPTS**

A party that can walk away negotiates calmly and wins better terms.

3 Let demand make us hard to refuse

HERITAGE GAINS: **Product that sells itself**

WHAT WE DO

As demand-pull builds, Heritage's own chain customers begin asking for GlobalCraft by name.

→ **WHY HERITAGE ACCEPTS**

Terms follow once the distributor needs the product to keep shelves moving.

The relationship principle: we never ask Heritage to give anything up. Every tactic hands it a gain, so there is no pressure, and no trigger for retaliation.

SUPPLY CHAIN · THE INDEPENDENT RETAILERS

Independents refused the paperwork, not the product, so they never touch it

These stores bought direct before the tariff. Their objection is the new customs clearance and duty. The Delivered Duty Paid model absorbs every cross-border step, so ordering feels exactly like a domestic purchase.

THE MECHANISM · WE IMPORT, THEY DON'T

Delivered Duty Paid, from US stock

GlobalCraft imports in bulk to a US 3PL warehouse as Importer of Record, clears customs and pays the tariff once at scale, then fulfils each retailer domestically.

Bulk import
we are importer of record

→

US 3PL
customs cleared, duty paid once

→

Domestic parcel
retailer just gets a box

WHAT THE INDEPENDENT USED TO FACE, AND NO LONGER DOES

- ✕ Customs paperwork
- ✕ A broker's bill
- ✕ A surprise duty line
- ✕ Clearance delays

THE CONVERSION PACKAGE

What makes an independent say yes

- **One landed price.** tariff and freight included, no surprise bills.
- **Low minimums, fast reorders.** small, frequent orders from US stock, not bulk imports.
- **We carry the tariff at first.** funded by the margin GlobalCraft regains going direct.
- **Marketing that drives footfall.** point-of-sale support and consumer demand-pull to their door.

The offer removes the only real objection: cost and paperwork risk both move onto GlobalCraft's books.

SO WHAT

Aggregation is the key, and a pilot proves it. Bulk import keeps per-unit logistics low; a single-region pilot judged on reorder rate, not pilot profit, de-risks the scale-up before capital is committed.

MARKETING & BRAND POSITIONING

Demand-pull does double duty: it wins retailers and it wins terms

Because we stay with Heritage, the brand halo is retained rather than replaced. Marketing spend goes to building consumer demand and brand equity that GlobalCraft will own outright.

THE ENGINE

Make consumers ask for us by name

Creator partnerships · DTC storefront · limited editions

→ **WINS TERMS** When Heritage's own chain customers request GlobalCraft by name, better terms stop being a favour we ask for and become commercially rational for Heritage.

→ **WINS RETAILERS** Independents being warned off by Heritage see real consumer demand in their own foot traffic. We answer their fear with a landed-cost guarantee and pilot reorder data, not claims.

THE BRAND HALO · BORROWED NOW, OWNED LATER

TODAY

Borrowed halo

GlobalCraft reads as larger than it is because Heritage represents major global names. Real, but not ours.

→

DURING

Building underneath

We keep the halo while marketing spend creates consumer demand and brand equity GlobalCraft owns directly.

→

OUTCOME

Owned equity

When our own brand carries itself, the halo becomes a bonus, not a dependency, and severance is never forced.

SO WHAT

Marketing is aimed at the retailers Heritage is warning off. Consumer demand-pull converts the very independents Heritage relies on fear to control, and simultaneously makes GlobalCraft a brand Heritage needs to keep well-supplied.

GROWTH HORIZON & RISK

Where lasting growth comes from, and why the door stays two-way

The near-term plan fixes cash and margin. The long-term prize is escaping single-market dependence, and the discipline throughout is that nothing GlobalCraft does is irreversible.

WHERE GROWTH COMES FROM (ANSOFF)

	EXISTING PRODUCT	NEW PRODUCT
SAME MKT	**Sell more in the US** — MANAGE	**New premium lines** — PURSUE
NEW MKT	**New countries** — ★ PRIORITY	**New products abroad** — LATER

New geographies for existing products is the priority: the one move that grows the business and cuts the 60% dependence at once.

THE ONE-WAY DOOR STAYS SHUT

Risk: Heritage sees direct as a threat
→ Cap it to independents; Heritage keeps every chain account. Growth is additive.

Risk: Retaliation or badmouthing
→ No severance to retaliate against. We stay a paying partner in good standing.

Risk: Contract blocks a 2nd distributor
→ Reviewed in month 1. If exclusivity binds, self-import is the fallback.

Every step is reversible; only severing is not, and we never sever.

SO WHAT

A four-generation partnership becomes a foundation to grow from, not a chokehold. GlobalCraft keeps its distributor and its halo, fixes the cash trap in months, wins back margin as the direct route grows, and cuts US dependence over time, without a single irreversible bet.